

the late 1960s. The stock went from Rs 30 to Rs 2,500 in a matter of months. A few players were made for life but far more were bankrupted trying to short-sell the stock,' he said. The next morning I covered my ACC position at a loss. But I was still lucky, considering the stock rallied by Rs 300 over the next three days after my exit. While the bulls paused for a breather in October, there came another important development in the money market. New government bonds with higher interest rates took the sheen off the older bonds, whose prices started to drop. The government bond portfolios of state-owned banks diminished in value. This triggered another round of frenzied trading in government securities by banks, as they tried to tide over the losses that ensued. Again, this passed unnoticed by the stock market, a wide section of which viewed the rise and fall in share prices in isolation.

The bull market in shares resumed in January, with Harshad's purchases believed to be the driving force. Harshad may have been the biggest buyer in the market, but to say that he was single-handedly forcing the market up was to exaggerate his influence. Again, I am making this observation with the benefit of hindsight. Back then, even I was a believer in Harshad's powers to make the market dance to his tune.

Shallow as the market may have been back then, the daily traded turnover had risen to around Rs 400 crore towards the end of 1991-92. Harshad may have had the charisma to drive the market, but it was impossible for him – or for anybody else, for that matter – to have enough money to dictate the market day after day. Even the most powerful of market operators can influence the market for at most a day or two, and that too only when they are on the same side as the majority. It may appear that the market operators are driving prices, when in reality they are just riding the wave. Stock market history is replete with players who went bankrupt after having made the error of thinking they had become bigger than the market.

Somewhere along the way, Harshad seemed to have lost his sense of proportion. He was becoming dangerously overconfident. The bear cartel repeatedly attempted to fell him by short-selling the stocks he was long on. Not only did they fail, but they also suffered huge losses in the bargain as those stocks continued to spiral skywards.

I doubt if there will ever be another bull run like the one in the market between 1 January and 2 April of 1992. During that period, the Sensex